

too have nothing to do with “high finance.” Why have so many great companies become relatively unprofitable even during many years of general prosperity? What is the advantage of doing more than \$2½ billion of business if the enterprise cannot earn enough to justify the shareholders’ investment? It is not for us to prescribe the solution of this problem. But we insist that not only management but the rank and file of shareholders should be conscious that the problem exists and that it calls for the best brains and the best efforts possible to deal with it.* From the standpoint of common-stock selection, neither issue would have met our standards of sound, reasonably attractive, and moderately priced investment. Flavors was a typical brilliantly successful but lavishly valued company; Harvester’s showing was too mediocre to make it really attractive even at its discount price. (Undoubtedly there were better values available in the reasonably priced class.)

SEQUEL TO 1971: The low price of Harvester at the end of 1969 protected it from a large further decline in the bad break of 1970. It lost only 10% more. Flavors proved more vulnerable and declined to 45, a loss of 30%. In the subsequent recovery both advanced, well above their 1969 close, but Harvester soon fell back to the 25 level.

**Pair 6: McGraw Edison (Public Utility and Equipment; Housewares)
McGraw-Hill, Inc. (Books, Films, Instruction Systems; Magazine and
Newspaper Publishers; Information Services)**

This pair with so similar names—which at times we shall call Edison and Hill—are two large and successful enterprises in vastly different fields. We have chosen December 31, 1968, as the date of our comparison, developed in Table 18-6. The issues were selling at about the same price, but because of Hill’s larger capitalization it was valued at about twice the total figure of the other. This difference should appear somewhat surprising, since Edison had about 50% higher sales and one-quarter larger net earnings. As a result, we find that the key ratio—the multiplier of earnings—was more than twice as great for Hill as for Edison. This phenomenon seems explicable chiefly by the persistence of a strong enthusiasm and partiality exhibited by the market toward shares of book-publishing companies, several of which had been introduced to public trading in the later 1960s.*